NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH, COURT-II

COMPANY PETITION NO. (CAA)-64(ND)/2021
CONNECTED WITH
COMPANY APPLICATION NO. CA (CAA)-56(ND)/2021

IN THE MATTER OF SCHEME OF AMALGAMATION:

AMONGST

YANMAR INDIA PRIVATE LIMITED

... Applicant /Transferor Company

WITH

YANMAR ENGINE MANUFACTURING INDIA PRIVATE LIMITED

... Non-Applicant /Transferee Company

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on: 20.01.2022

Section 230 To 232 of the Companies Act, 2013

CORAM:

SH. ABNI RANJAN KUMAR SINHA, HON'BLE MEMBER (JUDICIAL)

SH. L.N. GUPTA, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant	**:**	Adv. Pawan Sharma, Adv. Anuj Shah and Adv. Rishabh Sharma
For the R.D	**:**	Adv. Shankari Mishra

ORDER

PER SHRI L. N. GUPTA, MEMBER (T)

This Petition is preferred by the Transferor Company under Section 230 to 232 of Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 for approval of the Scheme of Amalgamation (hereinafter referred to as **'Scheme'** for brevity), as contemplated between the Companies, its Shareholders and Creditors. The copy of the Scheme has been placed on record. The details of the Companies proposed to be amalgamated, as placed on record, are given in the following paragraphs.

2. That Yanmar India Private Limited, (hereinafter referred to as "Applicant/Transferor Company") was incorporated with CIN U51909DL2011 FTC212314 on 07.01.2011 under the provisions of the erstwhile Companies Act, 1956 as a Private Limited company having its registered office 1568, Church Road, Kashmere Gate, New Delhi-110006.

3. That the Yanmar Engine Manufacturing India Private Limited, (hereinafter referred to as "Non-Applicant/Transferee Company") was incorporated with CIN U29300TN2018FTC125720 on the 09.11.2018 under the provisions of the Companies Act, 2013 as a Private Limited Company having its registered office at 1st Floor, Door No. 19, Khader Nawaz Khan Road, Nungambakkam, Chennai, Tamil Nadu - 600034.

4. That since the registered office of the Applicant Company is in Delhi therefore, the jurisdiction lies with this Bench. The registered office of the Transferee Company is situated in Tamil Nadu, which does not fall within the Territorial Jurisdiction of this Bench. Therefore, the Transferee Company shall seek approval of the Scheme from the Bench of the appropriate Jurisdiction. It is made clear that the directions being passed vide this order shall confine to the Applicant Company only.

5. From the records, it is seen that the First Motion petition was filed by the Applicant Company for seeking directions for dispensing with the meeting of its Equity Shareholders, Secured Creditors and Unsecured Creditors. That this Tribunal in the First Motion Application bearing No. CO. APPL. (CAA) 56/ND/2021 vide Order dated 31.05.2021 had dispensed with the requirement of convening the meetings of the equity shareholders, secured creditors and unsecured creditors of the Applicant Company.

6. The Appointed date as per Clause 4.4 of the Proposed Scheme of Amalgamation is 01.04.2021.

7. Subsequently, the Second Motion petition was moved by the Applicant Company in connection with the Scheme of Amalgamation for issuance of notices to the Central Government, Registrar of Company NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator and to such other Objector(s), if any, and also for publication of the said Scheme. Directions were issued, vide Order dated 11.06.2021 of this Tribunal, requiring the Applicant Company to carry out necessary publication with regard to the said Scheme in the daily

Newspapers viz., “Financial Express” (English) and “Jansatta” (Hindi) Delhi Edition.

8. It is submitted by the Applicant Company that in compliance of the above stated directions, the Applicant Company have duly filed an Affidavit of Service confirming that the aforesaid Notices of the present Company Petition were published on 17.06.2021 in the “Financial Express” (English) and “Jansatta” (Hindi) Delhi Edition newspapers.

9. That accordingly, the RD has filed its report dated 29.11.2021 and has not raised any objection. That the extracts of the RD’s report are reproduced below:

BEFORE THE HON’BLE NATIONAL COMPANY LAW TRIBUNAL

BENCH AT NEW DELHI

COMPANY PETITION NO. CP(CAA)/56(ND)/2021

CONNECTED WITH

COMPANY APPLICATION NO. C.A.(CAA)/64(ND)/2021

IN THE MATTER OF SECTION 230 TO 232 OF

THE COMPANIES ACT, 2013

AND

IN THE MATTER OF SCHEME OF AMALGAMATION

BETWEEN

YANMAR INDIA PRIVATE LIMITED
1568, CHURCH ROAD, KASHMERE GATE, NEW DELHI - 110006.

….. TRANSFEROR COMPANY

WITH

YANMAR ENGINE MANUFACTURING INDIA PRIVATE LIMITED
FIRST FLOOR, DOOR NO. 19, KHADER NAWAZ KHAN ROAD,
NUNGAMBAKKAM, CHENNAI - 600034.

….. TRANSFEREE COMPANY

REPRESENTATION / AFFIDAVIT OF REGIONAL DIRECTOR NORTHERN REGION, MINISTRY OF CORPORATE AFFAIRS, NEW DELHI.

I, Dr. Raj Singh, Regional Director (NR), having my office at B-2 Wing, 2nd Floor, Pt. Deendayal Antyodaya Bhawan, CGO Complex, New Delhi- 110003, do hereby solemnly affirm and sincerely state as follows:-

1. I am the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi and in pursuance of the notification of the Ministry of Corporate Affairs Dated 19.12.2016 in S.O. 4090 (E) I am authorized to swear this Affidavit for & on behalf of the Central Government.

2. The Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi, has been served with the copy of petition/application filed by the Petitioner/Applicant Companies pursuant to orders by Hon'ble Tribunal passed in Company Petition No. CP(CAA)/56(ND)/2021 connected with Company Application No. C.A.(CAA)/64(ND)/2021 filed under Sections 230 to 232 of the Companies Act, 2013 before Hon'ble National Company Law Tribunal Bench at New Delhi which has been examined.

3. That both the Transferor and the Transferee Companies are having their registered office in Delhi and within the jurisdiction of this Hon'ble National Company Law Tribunal Bench at New Delhi.

4. That the office of Deponent received the reply of the Petitioner Company on 05.08.2021. The report of the Registrar of Companies, NCT of Delhi & Haryana, has been received vide letter dated 30.09.2021 and is marked as **Annexure -A** for kind perusal of the Hon'ble Tribunal.

5. That as per the Scheme of Amalgamation, the appointed date is 01.04.2020.

6. That as per Clause-25(v) of the proposed Scheme of the Petitioner Companies provides for the protection of the interest of the employees and employee benefits of the Transferor Companies.

7. That as per the Scheme, the share exchange ratio of the company is provided as follows:-

- In consideration of Amalgamation of Transferor Company with and into the Transferee Company, in terms of the share entitlement ratio report dated 05.02.2021, the Transferee Company shall, without any further application act, instrument or deed being made by the shareholders of the Transferor Company, issue and allot to the equity shareholders of the Transferor Company, 43 (Forty Three) fully paid-up equity shares of face value of Rs.10/- each for every 1 (one) fully paid-up equity shares of the face value of Rs.1000/- each of the Transferor Company held by them as on the record date.

8. That meeting of equity shareholders of both Transferor and Transferee Company was dispensed off by Hon'ble Tribunal vide order dated 31.05.2021. There are no secured creditors in any of the Petitioner Companies, hence necessity of convening meeting does not arise. As per Hon'ble NCLT order dated 31.05.2021, The meeting of unsecured creditor of both Transferor and Transferee Company was dispensed off by Hon'ble Tribunal vide order dated 31.05.2021

9. That as per the report of Registrar of Companies, both the Transferor Companies and the Transferee Companies have filed the Balance Sheet and Annual Return up to 31.03.2020. No prosecution has been filed & no inspection or investigation has been conducted in respect of the Petitioner Companies.

10. That as per Para 32 of the report of ROC, Delhi, dated 10.08.2021, the following observations have been made:

    a. *Refer to Clause 26 of the scheme, the Transferee Company shall comply with section 232(3)(i) of the Companies Act, 2013 and pay the difference fee on consolidated authorized share capital of Transferee Company, after setting off the fee already paid by the Transferor Companies on their respective Capital.*

The above submissions are made in para 1 to 10 above after having examined the Scheme, reply of the Petitioner Companies and report of Registrar of Companies for kind consideration of the Hon'ble Tribunal for passing of orders for approval of scheme or such orders as may be deemed fit and proper in the facts and circumstances of the case.

DEPONENT

NOTARY
A.N. SINGH
Supreme Court of India
Regn. No. 16959
Exp. Date: 31.01.2025
GOVT. OF INDIA

10. That during the course of hearing on 06.01.2022, Ld. Counsel appearing for the RD has expressed its no objection for approval of Scheme.

11. That the OL has also filed its report dated 13.09.2021 and has not raised any objection towards approval of Scheme. That the relevant extracts of the OL's report are reproduced below :

> 15. That the Official Liquidator on the basis of information submitted by the Petitioner Companies is of the view that the affairs of the aforesaid Transferor Company do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest as per the provisions of the Companies Act, 1956/the Companies Act, 2013 whichever is applicable.

12. The Income Tax Department has not filed its report despite opportunities. Hence, its right to file report was closed vide order dated 06.01.2022.

13. That the Applicant Company has averred the following with respect to the Share Exchange Ratio.

> *"(vii) Consideration for Amalgamation:*
>
> *In consideration of the Amalgamation of the Petitioner/Transferor Company with and into the Non-Petitioner/Transferee Company, in terms of the share entitlement ratio report dated February 5, 2021 issued by Ms. Neena Agarwal, a registered valuer ("**Share Entitlement Ratio Report**"), the Non-Petitioner/Transferee Company shall, without any further application, act, instrument or deed being made by the shareholders of the Petitioner/Transferor Company, issue and allot to the equity shareholders of the Petitioner/Transferor Company, 43 (Forty Three) fully paid-up equity shares of the face value of INR 10/- (INR Ten Only) each for every 1 (One) fully paid-up equity shares of the face value of INR 1000/- (INR One Thousand Only) each of the Petitioner/Transferor Company held by them as on the Record Date…"*

14. In view of the foregoing facts, discussion and upon considering the approval accorded by the Members and Creditors of all the Applicant Company to the proposed Scheme and no sustainable objections having been raised by the Office of the Official Liquidator, Regional Director (North), Income Tax Department or any other interested party, there does not appear to be any impediment in granting sanction to the Scheme. **Accordingly, in sequel to the above, sanction is hereby granted to the Scheme of Amalgamation proposed by the Applicant Company under Section 230 to 232 of the Companies Act, 2013**. The sanctioned Scheme of Amalgamation shall be binding on the Transferor Company and Transferee Company (Applicant Companies) and their Shareholders and Creditors. The Applicant Company shall remain bound to comply with the statutory requirements in accordance with law.

15. Notwithstanding the above, if there is any deficiency found or violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Authority to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Applicant Company.

16. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement, which may be specifically required under any law. Further, the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961 or serve as any exemption or defense for the

Applicant Company against tax treatment in accordance with the provisions of Income Tax Act, 1961.

17. **That subject to the approval of the scheme in regard to the Transferee Company from the Bench of the appropriate Jurisdiction, this Tribunal directs with respect to Transferor Company that**:

(i) Upon the sanction becoming effective from the appointed date of amalgamation i.e., 01.04.2021, the Transferor Company shall stand dissolved without undergoing the process of winding up.

(ii) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Company are entitled to including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(iii) All contracts of the Transferor Company, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Company, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Company Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(vii) The Income Tax department is permitted to retain its recourse for recovery in respect of demand and any other future liabilities of the transferor Company and the transferee company, in respect of the assets sought to be transferred under the proposed scheme.

(viii) That any person interested shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

18. That the Applicant Company shall within thirty days of the date of the receipt of this Order or on sanction of the Scheme with respect to Transferee Company, whichever is later, cause a Certified Copy of this Order to be delivered to the Registrar of Company for registration and on such Certified Copy being so delivered, the Transferor Company shall be dissolved and the Registrar of Company shall place all the documents relating to the Transferor Company in the file kept by it in relation to the Transferee Company and the files relating to Companies shall be consolidated accordingly.

19. **The Company Petition is Allowed in respect of Transferor Company only**.

Sd/-
(L. N. GUPTA)
MEMBER (T)

Sd/-
(ABNI RANJAN KUMAR SINHA)
MEMBER (J)